

NPFID – Tax Expenditures (TE)

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Project Overview

In May 2023, the Government and UNDP launched NPFID Project



Enhance efficiency and internal capacity on national planning and financing policy



Assist MOF developing a TE tracking database to strengthen tax revenue collection



Early 2024: MOF completed testing of an Excel-based Prototype with 200 samples.



Next step, expand the database covering all centrally-administered CA projects + provincial-administered CA projects (9 target provinces)



1st TE analysis report

Phase I

Phase II

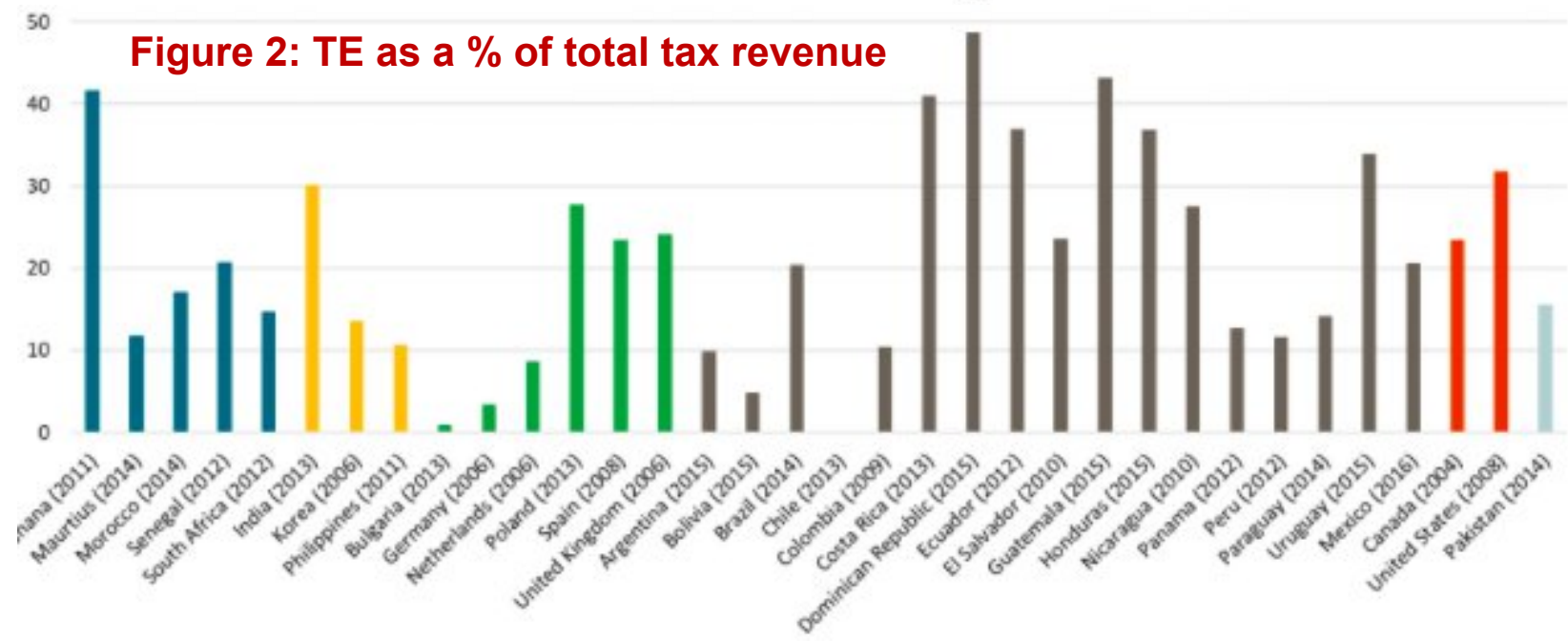
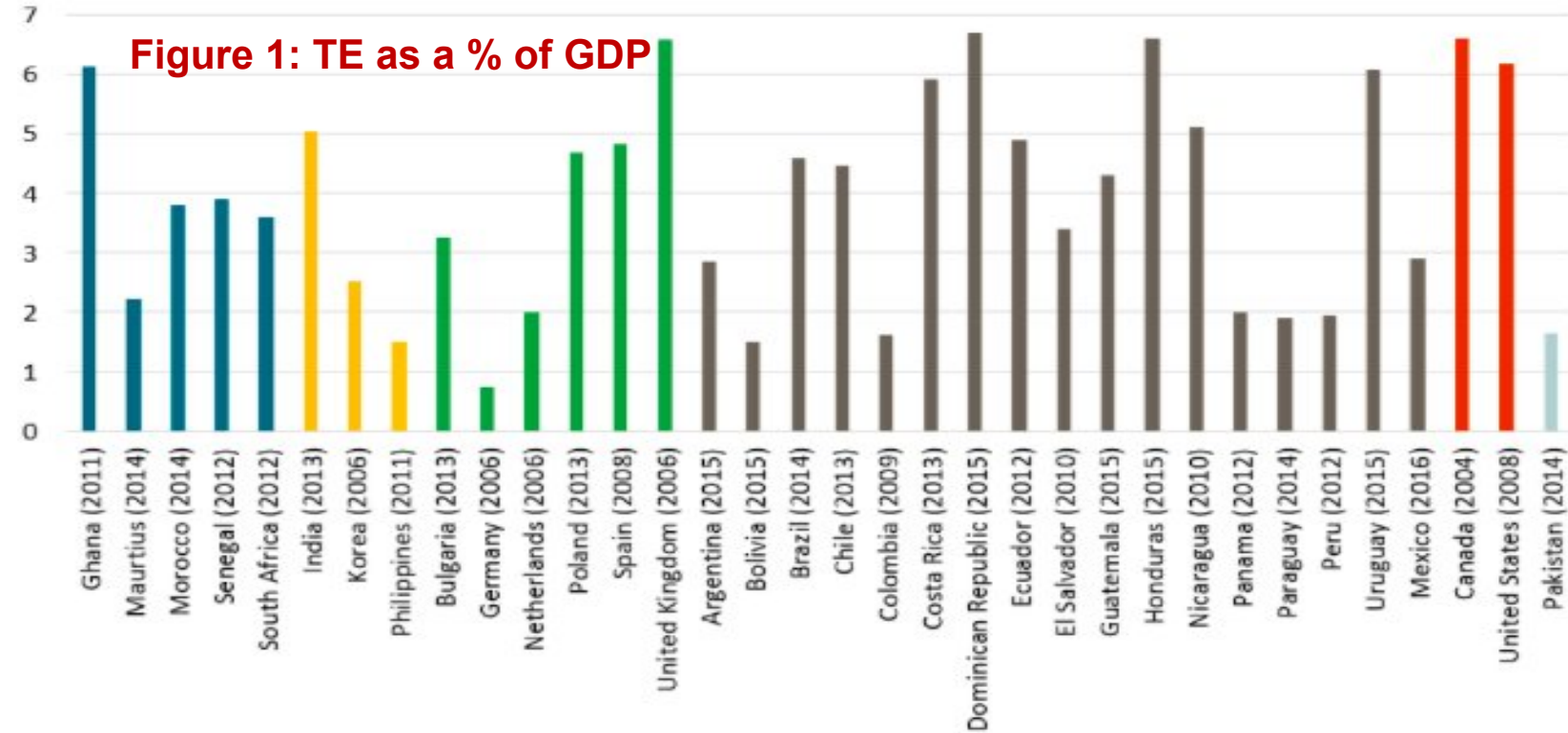
Final output

Tax Expenditures

- **TE: Other countries**

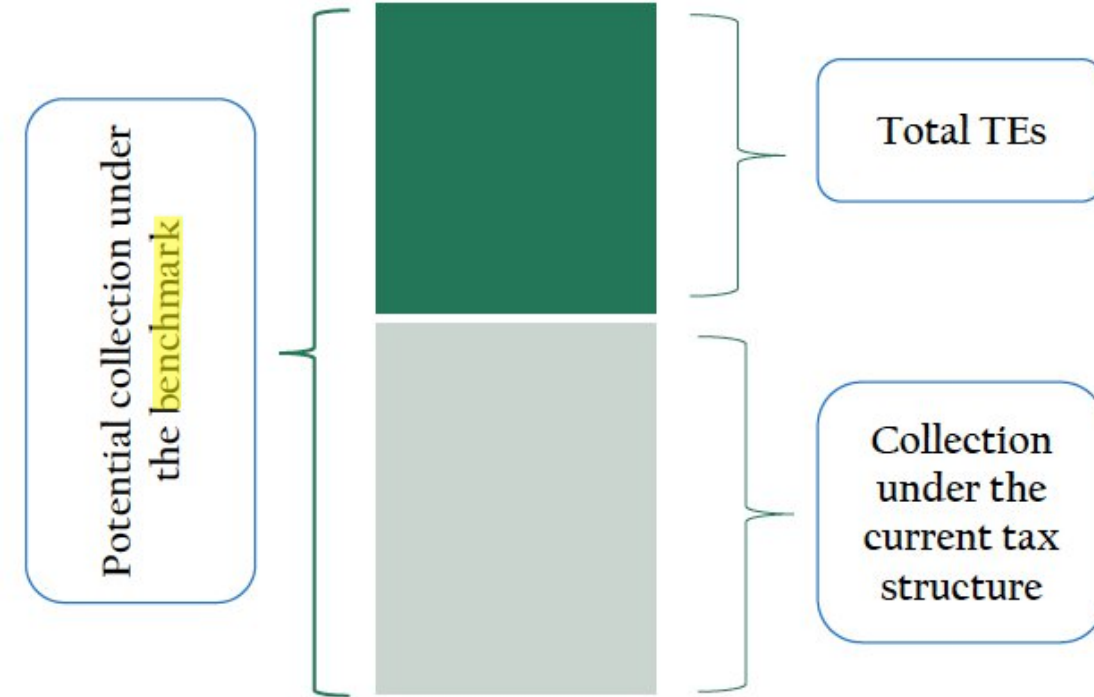
- Note: these TE estimates are **not directly comparable** because countries use different methodologies;
- **1/3** of the sample countries, TE are **5% of GDP** or more;
- 4 countries—**Ghana, Costa Rica, Dominican Republic, and Guatemala**—where they top **40% of collected revenues**.

Source: Gupta, Sanjeev. "Time to Pay More Attention to Tax Expenditures?" *Center for Global Development*, August 1, 2018. <https://www.cgdev.org/blog/time-pay-more-attention-tax-expenditures>.



- **TE: Definition for the Lao context**

“Tax expenditures refer to the revenue losses resulting from special tax provisions that provide exemptions, deductions, credits, preferential rates, or deferrals of tax liabilities. These provisions reduce the tax burden for certain individuals, organizations, or economic activities and are used by governments as tools to promote social, economic, or environmental policies without direct spending..”



Note: TE focus on revenue losses due to deliberate policy decisions (like tax breaks) and not losses due to operational failures like inefficiency, corruption, or non-compliance.

- **TE : Forms**

- **Allowances:** *A deduction from the taxable income (pre-tax calculation);*
- **Credits:** *A direct reduction of the tax liability (post-tax calculation);*
- **Exemptions;**
- **Rate relief:** *A reduced rate of tax applied to a class of taxpayer or taxable transactions;*
- **Tax deferral:** *A delay in paying tax;*
- **Free zone:** *A designated area where businesses are subject to special tax regulations to encourage investment and economic activity in certain geographic regions.*

• TE: Methodologies

Broadly, 2 methods can be used to define the Benchmark Tax System (BTS).

- (i) The **‘legal’ method** involves identifying deviations (preferential treatment) from the ‘general’ tax regime, where the general regime is defined by the **tax laws**.
- (ii) The **‘normative’ method** considers that the ‘normal’ or ‘general’ tax regime should be defined in terms of **optimal/ideal taxation***. Thus any deviations from what might be considered optimal tax treatment for **a particular activity** would represent TE.

The scope of TE considered herein is confined to those identifiable within the laws of Lao PDR, i.e., **statutory TE**. Any tax relief granted to individuals, firms or activities on a **discretionary basis are not considered****.

* Usually one designed according to economic principles such as efficiency, equity, or minimal distortion.

** The BTS and repository reflect the tax system of Lao PDR as of **April 2024**. However, if one wishes to calculate revenue foregone from tax expenditures for prior years, then the laws in place during those years should be reflected in the benchmark and repository. Similarly, any future changes to the relevant tax legislation will necessitate an update to the benchmark and repository.

- **TE: Estimation**

- (i) **Profit Tax**

- (ii) **Personal Income Tax**

- (iii) **VAT** – *import VAT, domestic VAT*

- (iv) **Customs Duty**

- (v) **Excise Duty**

- (vi) **Non-Tax Fee** – *royalty fee, rental of state land*

BTS: Concept

❑ Consider 4 components of each tax,

- Tax Unit (a person, or a company (legal entity))
- Tax Base (taxable income, or the value of a good purchased)
- Tax Rate
- Tax Period (e.g. monthly, annually)

❑ Any provision (Article) within the law (statutory) that alters the unit, base, rate, period for a group of taxpayers may be a TE *.

- E.g. an exemption, a reduced rate etc.

❑ TE can also arise from preferential treatment negotiated outside the law. (discretionary)

* Some of these deviations do not represent TE and are considered a part of the benchmark system for various reasons such as certain international agreements incorporate provisions that extend import duty exemptions to various items. Duty exemptions enshrined in each of the Kyoto Convention, Vienna Conventions, Chicago Convention and Florence Agreement are considered as part of the benchmark tax system and do not, thus, constitute TE.

Benchmark Tax System + Repository

1. Enterprise Income Tax :

Tax Unit	Tax Base	Tax Period	Tax Rate							
			Profit Tax		Mandatory Income Tax		Micro Enterprise Income Tax			
							Annual Turnover	Agriculture, industry, manufacturing	Commerce	Services
- a business enterprise, including the self-employed as defined in Art. 3.10	annual business income - annual deductible expenses + unallowable expense	1 year	20%	Standard PT Rate	7%	Agriculture and handicraft	≤LAK50m	0%	0%	0%
			22%	Tobacco companies	10%	Industry and manufacturing	LAK50m to LAK400m	1%	2%	3%
			35%	Companies engaged in mining activities	15%	Commerce and service				
					30%	Electricity, power, and mining				

• Repository of Enterprise Income Tax :

#	Legal Basis	Type of TE	Tax Type	Description of TE	Purpose / Objective
1	ITL Art. (amended) 16(2)	Rate Relief	<u>Profit</u> Tax	A newly registered small entity (6-50 staff, total assets not exceeding LAK1.5 billion, & annual turnover ≤ LAK3 billion ^a) is subject to a profit tax rate of 3% for 3 years, after which the standard PT rate applies).	Tax Compliance / Formalisation
2	ITL Art. (amended) 16(2)	Rate Relief	Profit Tax	A newly registered medium-sized entity (51-99 staff, total assets not exceeding LAK6 billion, & annual turnover ≤ LAK6 billion) is subject to a profit tax rate of 5% for 3 years, after which the standard PT rate applies).	Tax Compliance / Formalisation
3	ITL Art. (amended) 16(2)	Rate Relief	Profit Tax	Businesses engaged in human resource development, such as schools, training centers, innovative research, other educational activities, modern hospitals, pharmaceutical factories, medical equipment, and traditional medicine production and treatment pay a profit tax rate of 5%, after the end of the tax holiday period as stipulated in IPL.	Social
4	ITL Art. (amended) 16(2)	Rate Relief	Profit Tax	Businesses that apply innovative technologies that are environmentally friendly, resource-efficient, and use clean energy for production, pay a profit tax rate of 7%, after the end of the tax holiday as stipulated in IPL.	Environmental
5	ITL Art. (amended) 16(2)	Rate Relief	Profit Tax	Companies listed on the Lao stock exchange pay a profit tax rate of 13% for four years following listing, after which the standard PT rate applies.	Financial Sector Development
6	ITL Art. (amended) 16(2)	Rate Relief	Profit Tax	0.1% for micro enterprises that register as enterprises and voluntarily enter the value added tax system	Tax Compliance / Formalisation
7	IPL Art. 9,10,11	Exemption	Profit Tax	Profit tax exemption for 10 years for investment in sectors set out in section 2, 3, 5 and 6 of Article 9 of IPL, situated in Zone 1 (as defined in Article 10).	Investment Promotion
8	IPL Art. 9,10,11	Exemption	Profit Tax	Profit tax exemption for 4 years for investment in sectors set out in section 2, 3, 5 and 6 of Article 9 of IPL, situated in Zone 2 (as defined in Article 10).	Investment Promotion
9	IPL Art. 14	Exemption	Profit Tax	Investors who re-invest their net profit for their additional operation or investment activities will receive a profit tax exemption for the next accounting year for one year based on the portion of profit re-invested for their additional operation or investment activities.	Investment Promotion

#	Legal Basis	Type of TE	Tax Type	Description of TE	Purpose / Objective
12	SEZ Article 40; IPL Art. 62	Exemption	Profit Tax	<u>SEZ Developers:</u> Production industry, services on tourism industry development, services in public health, education, sport and physical activity, and real estate development shall receive profit tax incentives according to zones as follows: Zone 1: exempted from profit tax for sixteen years.	Investment Promotion
13	SEZ Article 40; IPL Art. 62	Rate Relief	Profit Tax	Upon the expiration of the exemption period, Zone Developers in Zone 1 shall pay profit tax at thirty-five percent (35%) of profit tax rate as specified in the Tax Law for the five years, and thereafter pay according to the rates set in the Tax Law;	Investment Promotion
14	SEZ Article 40; IPL Art. 62	Exemption	Profit Tax	SEZ Developers Production industry, services on tourism industry development, services in public health, education, sport and physical activity, and real estate development shall receive profit tax incentives according to zones as follows: Zone 2: exempted from profit tax for eight years.	Investment Promotion
15	SEZ Article 40; IPL Art. 62	Rate Relief	Profit Tax	Upon the expiration of the exemption period, Zone Developers in Zone 2 shall pay profit tax at thirty-five percent (35%) of profit tax rate as specified in the Tax Law for the five years, and thereafter pay according to the rates set in the Tax Law.	Investment Promotion
16	SEZ Article 43; IPL Art. 9, 11, 62.	Exemption	Profit Tax	Zone Investors in sectors specified in the Article 9 of Law on Investment Promotion shall be exempted from profit tax for additional two years from the profit tax exemption period as stipulated in the Article 11 Paragraphs 2 and 3 of the IPL.	Investment Promotion
17	SEZ Article 43; IPL Art. 62	Rate Relief	Profit Tax	Investments in business activities as specified in the Article 9 Points 3, 4, 5 and 6 of the Law on Investment Promotion, upon the expiration of the profit tax exemption period, shall pay the profit tax at thirty-five percent (35%) of the profit tax rate specified in the Tax Law for the five years and thereafter pay the profit tax in accordance with the Tax Law.	Investment Promotion
18	ITL., Art. 35.10	Exemption	Profit Tax	Income from activities that provide a public benefit or social purpose, such as art, sport etc	Social
19	ITL., Art. 35.17	Exemption	Profit Tax	Rent from the assets of a business operator who complies with their income tax obligations	?
20	ITL., Art. 35.8	Exemption	Profit Tax	Income from the transfer of real estate rights recorded in the balance sheet of a business operator	?

2. Individual Income Tax :

Tax Unit	Tax Base	Tax Period	Tax Rate						
			Employment Income			Financial Income		Other Income	
			Monthly income (LAK)		Marginal PIT rate				
Individual	(i) Employment Income, (ii) Financial Income and (iii) Other income	Monthly and periodically basis	0	1,300,000	0	The sale or transfer of shares of an individual or legal entity	2%	The sale or transfer of agricultural land tenure for agricultural purposes	1%
								Online sales	2%
								Lottery winnings	5%
								Income from rental	10%
			1,300,001	5,000,000	5%	Income from dividends or other benefits to shares or shareholders	10%	Income from sport and performance activities	10%
								Income from non-commercial activities of government and social organizations	10%
								Income from intellectual property	5%
			5,000,001	15,000,000	10%				
			15,000,001	25,000,000	15%	Loan interest from outside the banking system, income from guarantee	10%	Transfer of real estate rights	2%
								Inheritance beyond horizontal lineage	2%
								Consulting fees	5%
			25,000,001	65,000,000	20%			Gift as cash or in kind	5%
			65,000,001	+	25%				

- **Repository of Individual Income Tax :**

#	Legal Basis	Type of TE	Tax Type	Description of TE	Purpose / Objective
21	ITL., Art. 35.3	Exemption	Individual Income Tax	Additional working hours or overtime payments only for employees receiving a basic salary of LAK2 million or less (TE)	Social
22	ITL., Art. 35.20	Exemption	Individual Income Tax	Uniforms and equipment for preventing labour accidents (TE)	Social / Health
23	ITL., Art.35.3	Exemption	Individual Income Tax	Personal allowance for spouse, children aged below 18 (LAK5m up to a maximum of LAK15m per year)	Social
24	ITL., Art.35.3	Exemption	Individual Income Tax	Allowance for government personnel, allowance for national assembly member and provincial people's assembly	
25	ITL., Art.35.3	Exemption	Individual Income Tax	Allowance for students	Social
26	ITL., Art.35.4	Exemption	Individual Income Tax	Profits derived from the sale of shares from a company listed on the Lao stock exchange.	Financial Sector Development
27	ITL., Art.35.4	Exemption	Individual Income Tax	Dividends distributed to partners or shareholders of a company registered on the stock exchange	Financial Sector Development
28	ITL., Art.35.11	Exemption	Individual Income Tax	Interest on deposits in the banking system, Income from bonds issued by listed companies and government bonds	Encourage savings behaviour
29	ITL., Art.35.13	Exemption	Individual Income Tax	Bonus or gift paid by government to a person with outstanding performance in monitoring, searching, protecting, prevention or blockage of illegal acts	National Security
30	Law on Social Security Art 74.2; Notice 0824/LSO	Deduction	Individual Income Tax	Employee (5.5%) social security contributions are deductible from individual income tax. The contributions are computed on a maximum base of LAK4.5m per month; therefore, the maximum amount deductible is LAK247,500 (employee).	Encourage savings behaviour

3. Value-Added Tax :

Tax Unit	Tax Base	Tax Period	Tax Rate
Individual, legal entity or organization that operates a business under the VAT system	Defined in Article 11 of the VAT Law	Monthly basis	The benchmark VAT rate in Laos is currently 7% (entered into force from 01 January 2022)
			Export of goods and export of processed natural resources are charged VAT at 0%

- **Repository of VAT :**

#	Legal Basis	Type of TE	Tax Type	Description of TE	Purpose / Objective
31	VAT Law Art. 12.1.1	Exemption	VAT	Import of: all types of crop seeds, animals for breeding, animal sperms, vaccines, equipment and liquid nitrogen for storing vaccines and animal sperms, animal feeds, raw materials to produce animal feeds and vaccines;	Food security
32	VAT Law Art. 12.1.2	Exemption	VAT	Import of: Raw materials used in the production of fertilizers, agro-processing products, organic fertilizers, [scientific] fertilizers [and] pesticides that are not dangerous to the ecosystem, human and animal health and life	Food security
33	VAT Law Art. 12.1.3	Exemption	VAT	Import of: Equipment and machinery used in agriculture;	Food security
34	VAT Law Art. 12.1.5; IPL Art. 12	Exemption	VAT	Import of: Materials [and] equipment that could not be supplied or produced in Lao PDR and machinery that are used as fixed assets and used directly in production;	Investment Promotion / Export Promotion
35	VAT Law Art 12.1.13	Exemption	VAT	Import of: Animal medicines, artificial organs for transplantation for animal bodies	Food security
36	VAT Law Art 12.1.14	Exemption	VAT	Import of: Traditional medicines, artificial organs for transplantation for human bodies, human blood and supporting equipment for patients, the disabled and elderly;	Social - Health
37	VAT Law Art 12.1.15	Exemption	VAT	Import of: Medical tools [and] equipment, [laboratory] equipments or wheelchairs for public services of hospitals, health care centers.	Social - Health
38	VAT Law Art 12.1.16	Exemption	VAT	Import of: Vehicles serving professional activities, contributing to public benefits such as fire trucks, ambulances, vehicles equipped with repair facilities, outside television and radio broadcast vehicles and other professional vehicles.	Not available on the local market
39	VAT Law Art. 12.2.1	Exemption	VAT	Domestic supply of: Unprocessed agricultural or preliminary processed products including peeled, grinded [and] milled;	Food security
40	VAT Law Art. 12.2.2	Exemption	VAT	Domestic supply of: All kinds of live or deceased animals, whole or in parts, that are unprocessed or preliminary processed to ensure freshness or non-perishability;	Food security
41	VAT Law Art. 12.2.3	Exemption	VAT	Domestic supply of: afforestation, plantation of industrial, fruit and medicinal trees;	Food security
42	VAT Law Art. 12.2.4	Exemption	VAT	Domestic supply of: all types of crop seeds, animals for breeding, animal feeds, vaccines, raw materials to produce animal feeds and vaccines;	Food security
43	VAT Law Art. 12.2.5	Exemption	VAT	Domestic supply of: Raw materials used in the production of fertilizers, agroprocessing products, organic fertilizers, [scientific] fertilizers and pesticides that are not dangerous to the ecosystem, human and animal health and life;	Food security

#	Legal Basis	Type of TE	Tax Type	Description of TE	Purpose / Objective
44	VAT Law Art. 12.2.7	Exemption	VAT	Domestic supply of: equipment and machinery used in agricultural activities;	Food security
45	VAT Law Art. 12.2.11	Exemption	VAT	Domestic supply of: textbooks and learning materials	Social - Education
46	VAT Law Art. 12.2.13	Exemption	VAT	The supply of education services by e.g. childcare centres, kindergartens, primary and secondary schools, vocational schools, colleges, academies, universities, sporting and athletic schools.	Social - Education
47	VAT Law Art. 12.2.17	Exemption	VAT	The examination, treatment, and diagnosis of humans and animals	Social - Health
48	VAT Law Art. 12.2.18	Exemption	VAT	Animal medicines and artificial organs for transplantation of animal bodies	Agriculture
49	VAT Law Art. 12.2.19	Exemption	VAT	Traditional medicines, artificial organs for transplantation of human bodies, human blood, equipment or wheelchairs for patients, disabled and elderly;	Social - Health
50	VAT Law Art. 12.2.20	Exemption	VAT	Medical tools, equipment, [laboratory] analytical tools for hospitals, healthcare centers to serve society;	Social - Health
51	SEZ Decree No.188. Art 40.3	Exemption	VAT	For SEZ Developers: Construction of road, electricity system, water supply, wastewater treatment and waste disposal system shall be exempted from value added tax	Investment Promotion / Export Promotion
52	SEZ Decree No.188. Art 40.3	Rate Relief	VAT	For SEZ Developers: Construction of any other infrastructure shall pay value added tax at fifty percent (50%) of the value added tax rate as specified in the Law on Value Added Tax.	Investment Promotion / Export Promotion
53	SEZ Decree No.188. Art 43.3	Rate Relief	VAT	For SEZ Investors: the use of electricity and water in production: fifty percent (50%) of the value added tax rate specified in the Value Added Tax Law;	Investment Promotion / Export Promotion
54	SEZ Decree No.188. Art 43.3	Rate Relief	VAT	For SEZ Investors: For the construction and development of infrastructures to support business operations of investors in sectors that are not 100% production for export, investors shall pay fifty percent (50%) of the value added tax rate as specified in the Value Added Tax Law.	Investment Promotion / Export Promotion

4. Customs Duty :

Tax Unit	Tax Base	Tax Period	Tax Rate
Importer	CIF value of imported goods	At the time of import	Benchmark duty rates are those described in the ASEAN Harmonized Tariff Nomenclature, incorporating customs agreements and free trade areas*. Different rates form the benchmark tax rates, depending on the product category (at the HS Code level). TE arise where some imports are charged lower or zero tariffs for goods that ought to be taxed under the appropriate customs agreement.

* Lao PDR is a part of the following customs agreements and free trade areas:

- ASEAN Trade in Goods Agreement (ATIGA)
- ASEAN China Free Trade Agreement (ACFTA)
- ASEAN Korea Free Trade Agreement (AKFTA)
- ASEAN Japan Comprehensive Economic Partnership,
- ASEAN Australia New Zealand Free Trade Area
- ASEAN India Free Trade Area
- Asia-Pacific Trade Agreement
- Laos-Vietnam Free Trade Agreement

- **Repository of Customs Duty :**

#	Legal Basis	Type of TE	Tax Type	Description of TE	Purpose / Objective
55	IPL Art. 12.1 (amendment)	Exemption	Customs Duty	Import of materials, equipment which may not be supplied or produced in the Lao PDR, to form the fixed assets, and of machinery and vehicles directly used for production.	Investment Promotion
56	IPL Art. 12.2 (amendment)	Exemption	Customs Duty	Import of raw materials, equipment, mineral ore and parts to be used in the production for export.	Investment Promotion

5. Excise Tax :

Tax Unit	Tax Base	Tax Period	Tax Rate
(i) goods importer, (ii) manufacturers of goods, (iii) service providers or (iv) buyers of services from non-resident households.	(i) For imported goods, the cost, insurance and freight (CIF) value, plus any applicable customs duties. (ii) For locally supplied goods and services, the value at the time of supply.	Importer: at the time of customs clearance. Domestic manufacturers and service providers: monthly basis and not later than 15th day of the following month.	There is no single benchmark tax rate for excise tax. The benchmark rates for each product category and sub-category are as listed in the Excise Tax Law Article 15 and Presidential Edict No. 003/P of October 2023

- **Repository of Excise Duty :**

#	Legal Basis	Type of TE	Tax Type	Description of TE	Purpose / Objective
57	Excise Tax Law Art 12(5)	Exemption	Excise Tax	Rescue vehicles, rescue airplanes, rescue boats, ambulances, fire trucks, and specialized service vehicles for the National Defense Forces and security forces;	National Security, Healthcare
58	Excise Tax Law Art 12(6)	Exemption	Excise Tax	Machinery Used for agricultural production	Food Security
59	Excise Tax Law Art 12(7)	Exemption	Excise Tax	Heavy machinery such as backhoe loader, drum rollers, excavators, motor graders, bulldozer, A truck equipped for pile foundation work that directly contribute to production and are considered as fixed assets	
60	Excise Tax Law Art 12(10)	Exemption	Excise Tax	Motorcycles using clean energy	Environmental
61	Excise Tax Law Art 12(11)	Exemption	Excise Tax	Vehicle components imported for assembly in domestic factory system	Employment creation
62	Excise Tax Law Art 15(2.1.1.2)	Rate Relief	Excise Tax	Passenger vehicles using hybrid energy pay 50% of the applicable rates based on engine size for fuel energy (outlined in Art. 12 (2.1.1.1).	Environmental
63	Excise Tax Law Art 15(2.1.1.3)	Rate Relief	Excise Tax	Passenger transportation vehicles using clean energy pay a rate of 3%.	Environmental
64	Excise Tax Law Art 15(2.1.2)	Rate Relief	Excise Tax	Cargo transportation vehicles like: normal 2-door pickup trucks and semi-automatic 2-door pickup trucks using clean energy pay a rate of 3%	Environmental
65	Excise Tax Law Art15(2.1.3)	Rate Relief	Excise Tax	Other small passenger and cargo transportation vehicles using clean energy pay a rate of 3%	Environmental
66	Excise Tax Law Art 15(2.2)	Rate Relief	Excise Tax	Medium passenger and cargo transportation vehicles using clean energy pay a rate of 3%	Environmental
67	Excise Tax Law Art 15 (2.3)	Rate Relief	Excise Tax	Large passenger and cargo transportation vehicles using clean energy pay a rate of 3%	Environmental
68	Excise Tax Law Art. 15 (last paragraph)	Rate Relief	Excise Tax	Vehicles utilizing fuel energy, manufactured or assembled within the domestic factory system in CKD form are subject to a 5% excise tax rate	Employment Creation
69	Excise Tax Law Art. 15 (last paragraph)	Rate Relief	Excise Tax	Vehicles utilizing fuel energy, manufactured or assembled within the domestic factory system in IKD form are subject to a 3% excise tax rate	Employment Creation

Benchmark Non-Tax System + Repository

6. Royalty Fees :

Tax Unit	Tax Base	Tax Period	Tax Rate
Local and foreign persons or legal entities operating a business regarding natural resources	Defined in Art. 3 of Presidential Edict No. 001/P 2015.	At the time of sale	Outlined in Articles 5-7 for Minerals, Non-Timber Forest Products and natural water resources for hydropower projects, respectively.

7. Rental of State Land :

Tax Unit	Tax Base	Tax Period	Tax Rate
Investor (either foreign or local) who makes use of the land for their business venture	Size of the land parcel being rented	Yearly basis	Outlined in Presidential Ordinance 02/2009

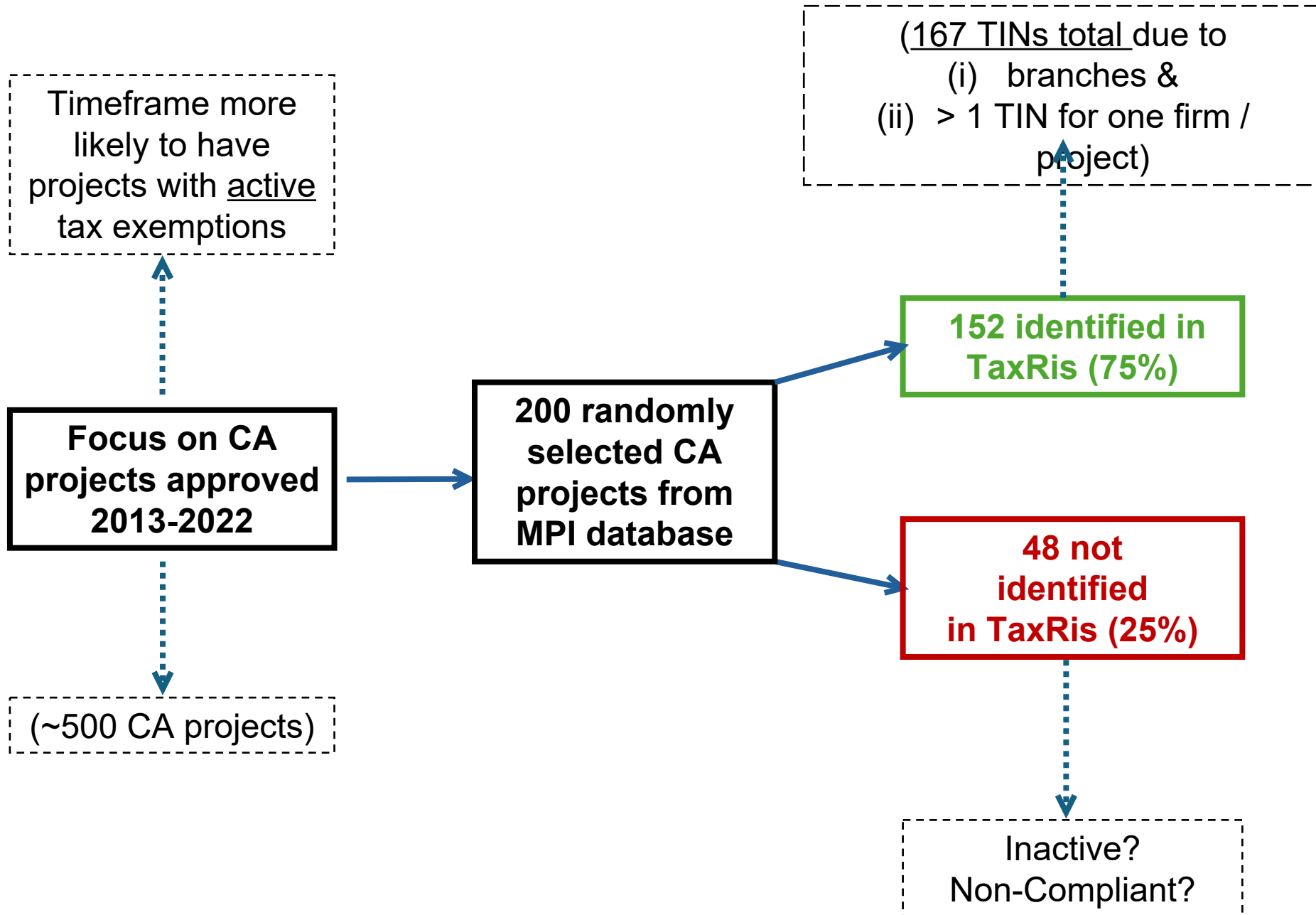
- **Repository of Rental of State Land :**

#	Legal Basis	Type of TE	Tax Type	Description of TE	Purpose / Objective
10	IPL Art. 15	Exemption	Rental or Concession royalty of state land	Investors investing in sectors as specified in Art. 9 of the law on investment promotion will receive exemption from rental or concession royalty of state land as follows: Zone 1: exemption for ten years; for investment in sectors as specified in points 2, 3, 5 and 6 of Art. 9 of the Law on Investment Promotion will receive additional five years of such exemption;	Investment Promotion
11	IPL Art. 15	Exemption	Rental or Concession royalty of state land	Investors investing in sectors as specified in Art. 9 of the law on investment promotion will receive exemption from rental or concession royalty of state land as follows: Zone 2: receive exemption for five years; for investment in sectors as specified in points 2, 3, 5 and 6 of Article 9 herein will receive additional three years of such exemption;	Investment Promotion

TE: Pilot database with 200 sample projects

- **Steps:**

1. Begin with **MPI** Investment Licenses Database
 - Project name
 - Type of project: CA or control business list
 - Location: Province + District
 - Sector
 - TIN (*in fact, no TIN in the MPI database, search for it by the name of project in TaxRIS*)
2. Match TINs with required information in **TaxRIS**
3. For Customs Duty TE
 - Import data from ASYCUDA by TINs
 - Match with the tariff-country-year (AHTN)
 - Match with Customs Regime Code (CRC), whether '000' (not TE), **441**: (IPL), **470**: (Aid Projects), **480**: (Gov't investment Projects), **481**: (Private investment Projects)
4. For Import Excise TE
 - Import data from ASYCUDA by TINs
 - Match with the listed in the Excise Tax Law Article 15 and Presidential Edict No. 003/P.
5. Calculate TE



Estimating TE: Profit Tax

167 TINS identified
in TaxRis system

109 projects : PT info at
least once 2018-2022

58 projects: No PT info
or filing (but do pay
e.g., Salary Tax)

Cannot estimate TE

Can estimate TE

Total:
318 observations
= avg. 2.9 per firm (2018 - 2022)

- 263 (80%): Profit is negative (*Implies firms are in loss-making position and no TE (even if they were General business activity, profit tax payable would still be zero if loss-making)*)
- 55 (30 projects): Profit is positive (*where at least one year 2018-2022 there was a positive profit*)
- We are searching for **Positive Profit**, but **Zero Profit Tax Payment** indicating presence of TE
- Finally, 16 observations (11 projects) has TE.

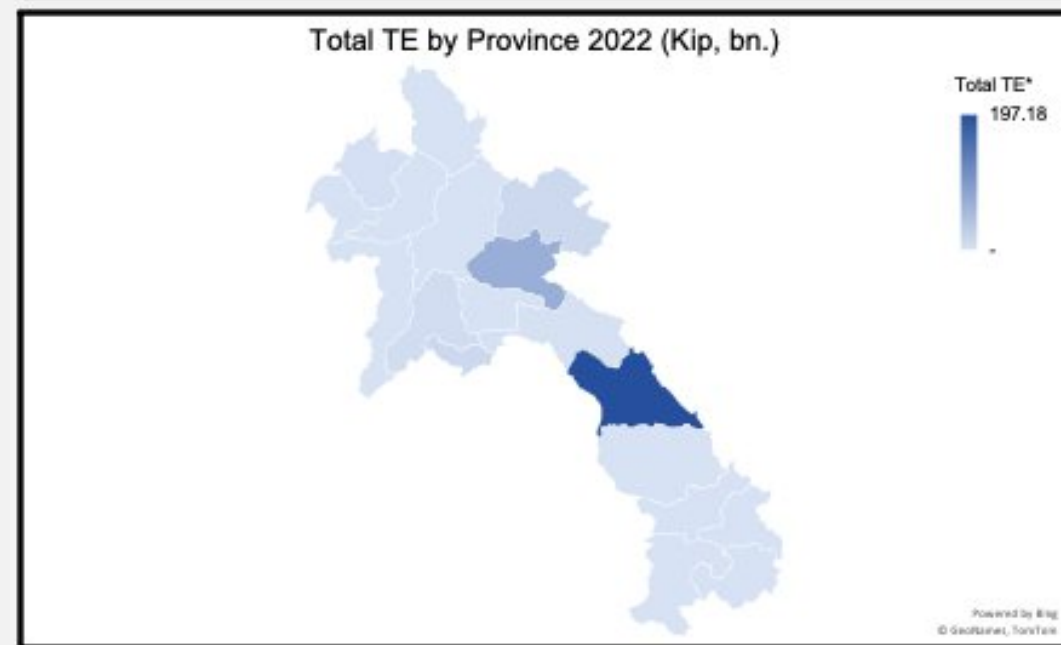
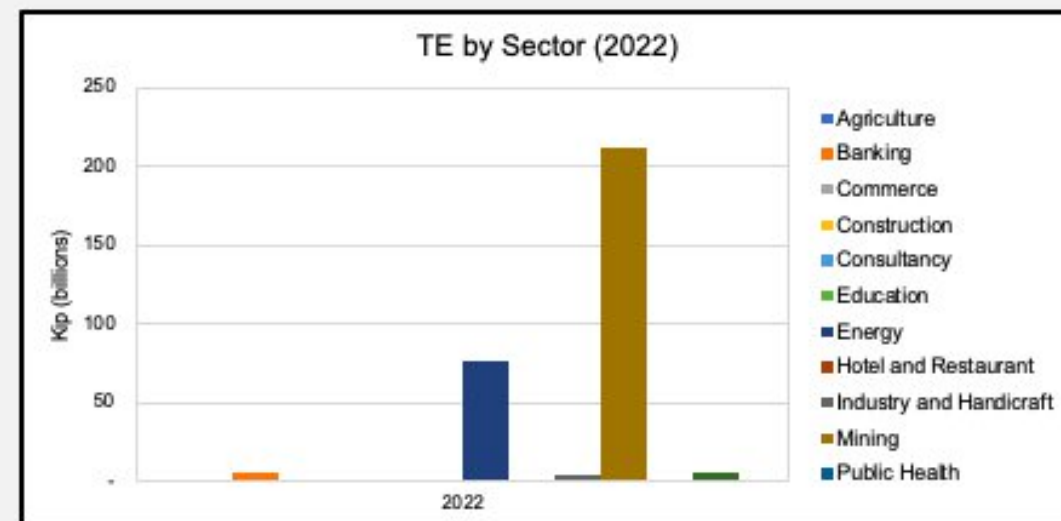
Excel Prototype

TE: Pilot results

- TE by tax **type**, by **sector**, **location**

Revenue Foregone from Tax Expenditure (Kip, bn.)					
	2018	2019	2020	2021	2022
Profit Tax	-	27.56	15.88	32.81	83.58
Individual Tax					
VAT	-	-	-	-	217.76
Excise					
Customs Duty	-	-	-	-	2.57
Total	-	27.56	15.88	32.81	303.92

Revenue Foregone from Tax Expenditure (% GDP)					
	2018	2019	2020	2021	2022
Profit Tax	0.000%	0.017%	0.009%	0.018%	0.038%
Individual Tax					
VAT	0.000%	0.000%	0.000%	0.000%	0.100%
Excise					
Customs Duty	0.000%	0.000%	0.000%	0.000%	0.001%
Total	0.000%	0.017%	0.009%	0.018%	0.140%



- TE by **provision**, for past 5 years
- E.g. PT exemption for CA projects:

TE #	Type	Legal Basis	TE Description	Revenue Foregone (Kip, bn.)				
				2018	2019	2020	2021	2022
4	Rate Relief	ITL Art. (amended) 16(2)	Businesses that apply innovative technologies that are environmentally friendly, resource-efficient, and use clean energy for production, pay a profit tax rate of 7% , after the end of the tax holiday as stipulated in IPL.	-	-	-	2.39	5.58
5	Rate Relief	ITL Art. (amended) 16(2)	Companies listed on the Lao stock exchange pay a profit tax rate of 13% for four years following listing, after which the standard PT rate applies.	-	-	-	-	-
6	Rate Relief	ITL Art. (amended) 16(2)	0.1% for micro enterprises that register as enterprises and voluntarily enter the value added tax system	-	-	-	-	-
7	Exemption	IPL Art. 9,10,11	Profit tax exemption for 10 years for investment in sectors set out in section 2, 3, 5 and 6 of Article 9 of IPL, situated in Zone 1 (as defined in Article 10).	-	10.07	1.48	7.93	6.35
8	Exemption	IPL Art. 9,10,11	Profit tax exemption for 4 years for investment in sectors set out in section 2, 3, 5 and 6 of Article 9 of IPL, situated in Zone 2 (as defined in Article 10).	-	0.03	-	22.49	71.65

Workshop

- **TE: Estimation**

- (i) Profit Tax

- (ii) Personal Income Tax

- (iii) VAT – *import VAT, domestic VAT*

- (iv) Customs Duty

- (v) Excise Duty

- (vi) Non-Tax Fee – *royalty fee, rental of state land*

Brush up

• Steps:

1. Begin with **MPI** Investment Licenses Database
 - Project name
 - Type of project: CA or control business list
 - Location: Province + District
 - Sector
 - TIN (*in fact, no TIN in the MPI database, search for it by the name of project in TaxRIS*)
2. Match TINs with required information in **TaxRIS**
2. For Customs Duty TE
 - Import data from ASYCUDA by TINs
 - Match with the tariff-country-year (AHTN)
 - Match with Customs Regime Code (CRC), whether '000' (not TE), **441**: (IPL), **470**: (Aid Projects), **480**: (Gov't investment Projects), **481**: (Private investment Projects)
4. For Import Excise TE
 - Import data from ASYCUDA by TINs
 - Match with the listed in the Excise Tax Law Article 15 and Presidential Edict No. 003/P.
5. Calculate TE

Example: Estimate Profit Tax TE

Step 1:

MPI:

- Project name: **Project A**
- Type of project: **CA**
- Investment License date: **1/1/2015**
- Location: **Kaysone City, SVK (zone 2)**
- Sector: **SEZ development**
- Investor: **Chinese 60%, Lao 40%**
- Status: **Active**

Sector:

- Employee: **50**

Identify type of TE in [Repository](#):

- TE # **12**
- Type of TE: **Exemption**

Step 2:

MoF:

Search TIN in TaxRIS

- TIN: **111222333**

Step 3:

MoF:

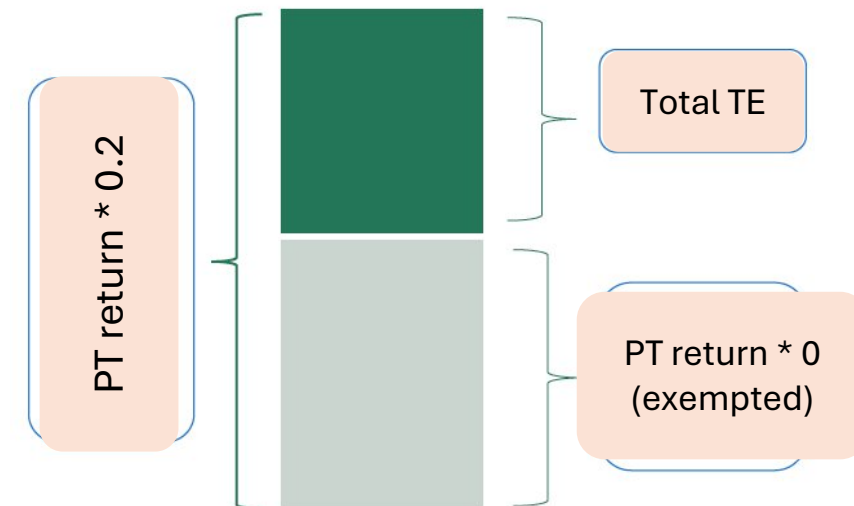
Check data requirements in [Annex 1](#)

- TE # **12**
- Variable(s): **PT returns**
i.e: PT return 2023 = 1.200.000 kip

Step 4:

Estimation

- Benchmark of PT: **20%**
- **$PT\ TE_{2023} = 1.200.000 * (0.2 - 0)$**
 $= 240.000\ kip$



Example: *Estimate TE of Import Tax*

Step 1-3 are the same as PT TE. Only step 4 is a bit sophisticated.

Interactions between Import Tax.

Customs duty and other import taxes are charged **sequentially**

- The typical order is: customs duty → excise duty → VAT
- Customs duty is part of the tax base for excise duty
- Customs and excise duties are part of the tax base for VAT
- **Consequence:** tax expenditures on a given tax will *indirectly* affect the collection of taxes later in the sequence.
- **2 broad approaches to account for these effects:**
 1. Counting TEs where they accrue
 2. Counting TEs where they originate

Example: Country A has customs duty (on CIF value) and excise on imports (on the sum of CIF value and customs duty payable).

CIF Value	Customs Duty rate	Applied Customs Duty rate	Excise rate	Applied Excise rate
2.000	10%	Exempt	20%	20%

Approach I:

- Customs duty TE = $(\text{Benchmark duty rate} - \text{Applied duty rate}) * \text{CIF Value}$
= 200

- Excise TE = $\text{Benchmark excise rate (CIF + CIF * Benchmark duty rate)} - \text{Applied excise rate (CIF + CIF * Applied duty rate)}$
= 440 – 400
= 40

Collections under the benchmark

Actual collections

Approach II:

- Direct Customs duty TE = $(\text{Benchmark duty rate} - \text{Applied duty rate}) * \text{CIF Value}$
= 200

- Indirect Customs duty TE (through Excise)
= $(\text{Benchmark Excise rate}) * (\text{Direct Customs Duty TE})$
= 0,2 * 200 = 40

- Excise TE = $(\text{Benchmark Excise rate} - \text{Applied Excise rate}) * (1 + \text{Applied Customs Duty Rate}) * (\text{CIF})$
= 0

Data collection

MPI / DPI

- What is your role in authorizing or certifying documents related to a CA project, and what are the procedures for each type of document?
- What obligations, fees, and charges apply to a CA project in your sector (such as deposit money for MOU or CA guarantees)? When are these due, and which agency is responsible for collection?
- For import-export activities under a CA project, how is your sector involved, and what are the procedures?
- How do you monitor the approved project?

	2019	2020	2021	2022	2023
- Number of CA					
- Number of active CA					
- Number of newly approved CA					

Proj. name	Date of License	Type of proj.	Sector	Location	Investor	Status	Identify # of TE
<i>i.e. Proj. A</i>	<i>12/3/2015</i>	<i>CA</i>	<i>SEZ development</i>	<i>Kaisone, SVK</i>	<i>Malaysian 100%</i>	<i>Active</i>	
<i>i.e. Proj B</i>	<i>1/1/2020</i>	<i>Controlled</i>	<i>Mining</i>	<i>Sepon, SVK</i>	<i>Chinses 60%, Lao 40%</i>	<i>Active</i>	

MEM / DEM

- What is your role in authorizing or certifying documents related to a CA project, and what are the procedures for each type of document?
- What obligations, fees, and charges apply to a CA project in your sector (such as royalty fee, resource fee, etc.)? When are these due, and which agency is responsible for collection?
- For import-export activities under a CA project, how is your sector involved, and what are the procedures?
- How do you monitor the approved project?

CA project	Date of Business Operating License	Activities	Location	Investor	Status
Project A	12/3/2015	Hydropower	ເມືອງນອງ, SVK	Malaysian 100%	Active
.....					

MoNRE / DoNRE

- What is your role in authorizing or certifying documents related to a CA project, and what are the procedures for each type of document?
- What obligations, fees, and charges apply to a CA project in your sector (such as concession fee, environmental protection fund, etc.)? When are these due, and which agency is responsible for collection?
- For import-export activities under a CA project, how is your sector involved, and what are the procedures?
- How do you monitor the approved project?

CA project	Date of first IEE / ESIA	Date of State Land Title	Location	Investor	Status
Project A	12/3/2015	Eucalyptus plantation	Champhon District, SVK	Chinese 60%, Lao 40%	Active
.....					

MAF / DAF

- What is your role in authorizing or certifying documents related to a CA project, and what are the procedures for each type of document?
- What obligations, fees, and charges apply to a CA project in your sector? When are these due, and which agency is responsible for collection?
- For import-export activities under a CA project, how is your sector involved, and what are the procedures?
- How do you monitor the approved project?

CA project	Date of Business Operating License	Activities	Location	Investor	Status
Project A	12/3/2015	Eucalyptus plantaiton	Champhon District, SVK	Chinese 60%, Lao 40%	Active
.....					

Thank you for listening



1. Tax Expenditures under the Profit Tax

TE #	Type	Legal Basis	TE Description	Data Requirements	Data source
1	Rate Relief	ITL Art. (amended) 16(2)	A newly registered small entity (6-50 staff, total assets not exceeding LAK1.5 billion, & annual turnover ≤ LAK3 billion) is subject to a profit tax rate of 3% for 3 years, after which the standard PT rate applies).	- PT returns - PT Payments	TaxRIS
2	Rate Relief	ITL Art. (amended) 16(2)	A newly registered medium-sized entity (51-99 staff, total assets not exceeding LAK6 billion, & annual turnover ≤ LAK6 billion) is subject to a profit tax rate of 5% for 3 years, after which the standard PT rate applies).	- PT returns - PT Payments	TaxRIS
3	Rate Relief	ITL Art. (amended) 16(2)	Businesses engaged in human resource development, such as schools, training centres, innovative research, other educational activities, modern hospitals, pharmaceutical factories, medical equipment, and traditional medicine production and treatment pay a profit tax rate of 5%, after the end of the tax holiday period as stipulated in IPL.	- PT returns - PT Payments	- TaxRIS - MPI - MOIC
4	Rate Relief	ITL Art. (amended) 16(2)	Businesses that apply innovative technologies that are environmentally friendly, resource-efficient, and use clean energy for production, pay a profit tax rate of 7%, after the end of the tax holiday as stipulated in IPL.	- PT returns - PT Payments	- TaxRIS - MPI - MOIC
5	Rate Relief	ITL Art. (amended) 16(2)	Companies listed on the Lao stock exchange pay a profit tax rate of 13% for four years following listing, after which the standard PT rate applies.	- PT returns - PT Payments	- TaxRIS - List of firms on Lao Stock Exchange and listing dates
6	Rate Relief	ITL Art. (amended) 16(2)	0.1% for micro enterprises that register as enterprises and voluntarily enter the value added tax system.	- PT returns - PT Payments	TaxRIS
7	Exemption	IPL Art. 9,10,11	Profit tax exemption for 10 years for investment in sectors set out in section 2, 3, 5 and 6 of Article 9 of IPL, situated in Zone 1 (as defined in Article 10).	PT returns	- TaxRIS - MPI
8	Exemption	IPL Art. 9,10,11	Profit tax exemption for 4 years for investment in sectors set out in section 2, 3, 5 and 6 of Article 9 of IPL, situated in Zone 2 (as defined in Article 10).	PT returns	- TaxRIS - MPI

Annex 1

9	Exemption	IPL Art. 14	Investors who re-invest their net profit for their additional operation or investment activities will receive a profit tax exemption for the next accounting year for one year based on the portion of profit re-invested for their additional operation or investment activities.	PT returns	- TaxRIS - MPI
12	Exemption	SEZ Article 40; IPL Art. 62	SEZ Developers: Production industry, services on tourism industry development, services in public health, education, sport and physical activity, and real estate development shall receive profit tax incentives according to zones as follows: Zone 1: exempted from profit tax for sixteen years.	PT returns	- TaxRIS - MPI - SEZO
13	Rate Relief	SEZ Article 40; IPL Art. 62	Upon the expiration of the exemption period, Zone Developers in Zone 1 shall pay profit tax at thirty-five percent (35%) of profit tax rate as specified in the Tax Law for the five years, and thereafter pay according to the rates set in the Tax Law.	- PT returns - PT Payments	- TaxRIS - MPI - SEZO
14	Exemption	SEZ Article 40; IPL Art. 62	SEZ Developers: Production industry, services on tourism industry development, services in public health, education, sport and physical activity, and real estate development shall receive profit tax incentives according to zones as follows: Zone 2: exempted from profit tax for eight years.	PT returns	- TaxRIS - MPI - SEZO
15	Rate Relief	SEZ Article 40; IPL Art. 62	Upon the expiration of the exemption period, Zone Developers in Zone 2 shall pay profit tax at thirty-five percent (35%) of profit tax rate as specified in the Tax Law for the five years, and thereafter pay according to the rates set in the Tax Law.	- PT returns - PT Payments	- TaxRIS - MPI - SEZO
16	Exemption	SEZ Article 43; IPL Art. 9, 11, 62.	Zone Investors in sectors specified in the Article 9 of Law on Investment Promotion shall be exempted from profit tax for additional two years from the profit tax exemption period as stipulated in the Article 11 Paragraphs 2 and 3 of the IPL.	PT returns	- TaxRIS - MPI - SEZO

17	Rate Relief	SEZ Article 43; IPL Art. 62	Investments in business activities as specified in the Article 9 Points 3, 4, 5 and 6 of the Law on Investment Promotion, upon the expiration of the profit tax exemption period, shall pay the profit tax at thirty-five percent (35%) of the profit tax rate specified in the Tax Law for the five years and thereafter pay the profit tax in accordance with the Tax Law.	- PT returns - PT Payments	- TaxRIS - MPI - SEZO
18	Exemption	ITL., Art. 35.10	Income from activities that provide a public benefit or social purpose, such as art, sport etc.	Individual income tax returns	TaxRIS
19	Exemption	ITL., Art. 35.17	Rent from the assets of a business operator who complies with their income tax obligations.	Individual income tax returns	TaxRIS
20	Exemption	ITL., Art. 35.8	Income from the transfer of real estate rights recorded in the balance sheet of a business operator.	Individual income tax returns	TaxRIS

2. Tax Expenditures under the Individual Tax

TE #	Type	Legal Basis	TE Description	Data Requirements	Data source
21	Exemption	ITL., Art. 35.3	Additional working hours or overtime payments only for employees receiving a basic salary of LAK 2 million or less.	Tax returns at the individual level	???
22	Exemption	ITL., Art. 35.20	Uniforms and equipment for preventing labour accidents.	Tax returns at the individual level	???
23	Exemption	ITL., Art.35.3	Personal allowance for spouse, children aged below 18 (LAK5m up to a maximum of LAK15m per year).	Tax returns at the individual level	???
24	Exemption	ITL., Art.35.3	Allowance for government personnel, allowance for national assembly member and provincial people's assembly.	Tax returns at the individual level	???
25	Exemption	ITL., Art.35.3	Allowance for students.	Tax returns at the individual level	???
26	Exemption	ITL., Art.35.4	Profits derived from the sale of shares from a company listed on the Lao stock exchange.	Tax returns at the individual level	???
27	Exemption	ITL., Art.35.4	Dividends distributed to partners or shareholders of a company registered on the stock exchange.	Tax returns at the individual level	???
28	Exemption	ITL., Art.35.11	Interest on deposits in the banking system, Income from bonds issued by listed companies and government bonds.	Tax returns at the individual level	???
29	Exemption	ITL., Art.35.13	Bonus or gift paid by government to a person with outstanding performance in monitoring, searching, protecting, prevention or blockage of illegal acts.	Tax returns at the individual level	???

30	Deduction	Law on Social Security Art 74.2;	Employee (5.5%) social security contributions are deductible from individual income tax. The contributions are computed on a maximum base of LAK 4.5 m per month; therefore, the maximum amount deductible is LAK 247,500 (employee).	- Tax returns at the individual level - Tax payments at the individual level	???
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3. Tax Expenditures under the Value-Added Tax

TE #	Type	Legal Basis	TE Description	Data Requirements	Data source
31	Exemption	VAT Law Art. 12.1.1	Import of: all types of crop seeds, animals for breeding, animal sperms, vaccines, equipment and liquid nitrogen for storing vaccines and animal sperms, animal feeds, raw materials to produce animal feeds and vaccines.	Value of imports + other applicable taxes	ASYCUDA
32	Exemption	VAT Law Art. 12.1.2	Import of: Raw materials used in the production of fertilizers, agroprocessing products, organic fertilizers, [scientific] fertilizers [and] pesticides that are not dangerous to the ecosystem, human and animal health and life.	Value of imports + other applicable taxes	ASYCUDA
33	Exemption	VAT Law Art. 12.1.3	Import of: Equipment and machinery used in agriculture.	Value of imports + other applicable taxes	ASYCUDA
34	Exemption	VAT Law Art. 12.1.5; LOIP Art. 12	Import of: Materials [and] equipment that could not be supplied or produced in Lao PDR and machinery that are used as fixed assets and used directly in production.	Value of imports + other applicable taxes	ASYCUDA
35	Exemption	VAT Law Art 12.1.13	Import of: Animal medicines, artificial organs for transplantation for animal bodies.	Value of imports + other applicable taxes	ASYCUDA
36	Exemption	VAT Law Art 12.1.14	Import of: Traditional medicines, artificial organs for transplantation for human bodies, human blood and supporting equipment for patients, the disabled and elderly.	Value of imports + other applicable taxes	ASYCUDA
37	Exemption	VAT Law Art 12.1.15	Import of: Medical tools [and] equipment, [laboratory] equipment or wheelchairs for public services of hospitals, health care centres.	Value of imports + other applicable taxes	ASYCUDA
38	Exemption	VAT Law Art 12.1.16	Import of: Vehicles serving professional activities, contributing to public benefits such as fire trucks, ambulances, vehicles equipped with repair facilities, outside television and radio broadcast vehicles and other professional vehicles.	Value of imports + other applicable taxes	ASYCUDA
39	Exemption	VAT Law Art. 12.2.1	Domestic supply of: Unprocessed agricultural or preliminary processed products including peeled, grinded [and] milled.	VAT returns on local sales or purchases	TaxRIS

40	Exemption	VAT Law Art. 12.2.2	Domestic supply of: All kinds of live or deceased animals, whole or in parts, that are unprocessed or preliminary processed to ensure freshness or non-perishability.	VAT returns on local sales or purchases	TaxRIS
41	Exemption	VAT Law Art. 12.2.3	Domestic supply of: afforestation, plantation of industrial, fruit and medicinal trees.	VAT returns on local sales or purchases	TaxRIS
42	Exemption	VAT Law Art. 12.2.4	Domestic supply of: all types of crop seeds, animals for breeding, animal feeds, vaccines, raw materials to produce animal feeds and vaccines.	VAT returns on local sales or purchases	TaxRIS
43	Exemption	VAT Law Art. 12.2.5	Domestic supply of: Raw materials used in the production of fertilizers, agroprocessing products, organic fertilizers, [scientific] fertilizers and pesticides that are not dangerous to the ecosystem, human and animal health and life.	VAT returns on local sales or purchases	TaxRIS
44	Exemption	VAT Law Art. 12.2.7	Domestic supply of: equipment and machinery used in agricultural activities.	VAT returns on local sales or purchases	TaxRIS
45	Exemption	VAT Law Art. 12.2.11	Domestic supply of: textbooks and learning materials.	VAT returns on local sales or purchases	TaxRIS
46	Exemption	VAT Law Art. 12.2.13	The supply of education services by e.g. childcare centres, kindergartens, primary and secondary schools, vocational schools, colleges, academies, universities, sporting and athletic schools.	VAT returns on local sales or purchases	TaxRIS
47	Exemption	VAT Law Art. 12.2.17	The examination, treatment, and diagnosis of humans and animals.	VAT returns on local sales or purchases	TaxRIS
48	Exemption	VAT Law Art. 12.2.18	Animal medicines and artificial organs for transplantation of animal bodies.	VAT returns on local sales or purchases	TaxRIS
49	Exemption	VAT Law Art. 12.2.19	Traditional medicines, artificial organs for transplantation of human bodies, human blood, equipment or wheelchairs for patients, disabled and elderly.	VAT returns on local sales or purchases	TaxRIS
50	Exemption	VAT Law Art. 12.2.20	Medical tools, equipment, [laboratory] analytical tools for hospitals, healthcare centers to serve society.	VAT returns on local sales or purchases	TaxRIS
51	Exemption	SEZ Decree No.188. Art 40.3	For SEZ Developers: Construction of road, electricity system, water supply, wastewater treatment and waste disposal system shall be exempted from value added tax.	VAT returns on local sales or purchases	TaxRIS

52	Rate Relief	SEZ Decree No.188. Art 40.3	For SEZ Developers: Construction of any other infrastructure shall pay value added tax at fifty percent (50%) of the value added tax rate as specified in the Law on Value Added Tax.	VAT returns on local sales or purchases	TaxRIS
53	Rate Relief	SEZ Decree No.188. Art 43.3	For SEZ Investors: the use of electricity and water in production: fifty percent (50%) of the value added tax rate specified in the Value Added Tax Law.	VAT returns on local sales or purchases	TaxRIS
54	Rate Relief	SEZ Decree No.188. Art 43.3	For SEZ Investors: For the construction and development of infrastructures to support business operations of investors in sectors that are not 100% production for export, investors shall pay fifty percent (50%) of the value added tax rate as specified in the Value Added Tax Law.	VAT returns on local sales or purchases	TaxRIS

4. Tax Expenditures under the ExciseTax

TE #	Type	Legal Basis	TE Description	Data Requirements	Data source
57	Exemption	Excise Tax Law Art 12(5)	Rescue vehicles, rescue airplanes, rescue boats, ambulances, fire trucks, and specialized service vehicles for the National Defence Forces and security forces.	Value of import	ASYCUDA
58	Exemption	Excise Tax Law Art 12(6)	Machinery Used for agricultural production.	Value of import	ASYCUDA
59	Exemption	Excise Tax Law Art 12(7)	Heavy machinery such as backhoe loader, drum rollers, excavators, motor graders, bulldozer, A truck equipped for pile foundation work that directly contribute to production and are considered as fixed assets.	Value of import	ASYCUDA
60	Exemption	Excise Tax Law Art 12(10)	Motorcycles using clean energy.	Value of import	ASYCUDA
61	Exemption	Excise Tax Law Art 12(11)	Vehicle components imported for assembly in domestic factory system.	Value of import	ASYCUDA
62	Rate Relief	Excise Tax Law Art 15(2.1.1.2)	Passenger vehicles using hybrid energy pay 50% of the applicable rates based on engine size for fuel energy (outlined in Art. 12 (2.1.1.1)).	- Value of import - Excise payments	ASYCUDA
63	Rate Relief	Excise Tax Law Art 15(2.1.1.3)	Passenger transportation vehicles using clean energy pay a rate of 3%.	- Value of import - Excise payments	ASYCUDA

64	Rate Relief	Excise Tax Law Art 15(2.1.2)	Cargo transportation vehicles like: normal 2-door pickup trucks and semi-automatic 2-door pickup trucks using clean energy pay a rate of 3%.	- Value of import - Excise payments	ASYCUDA
65	Rate Relief	Excise Tax Law Art 15(2.1.3)	Other small passenger and cargo transportation vehicles using clean energy pay a rate of 3%.	- Value of import - Excise payments	ASYCUDA
66	Rate Relief	Excise Tax Law Art 15(2.2)	Medium passenger and cargo transportation vehicles using clean energy pay a rate of 3%.	- Value of import - Excise payments	ASYCUDA
67	Rate Relief	Excise Tax Law Art 15 (2.3)	Large passenger and cargo transportation vehicles using clean energy pay a rate of 3%.	- Value of import - Excise payments	ASYCUDA
68	Rate Relief	Excise Tax Law Art. 15 (last paragraph)	Vehicles utilizing fuel energy, manufactured or assembled within the domestic factory system in CKD form are subject to a 5% excise tax rate.	- Value of import - Excise payments	ASYCUDA
69	Rate Relief	Excise Tax Law Art. 15 (last paragraph)	Vehicles utilizing fuel energy, manufactured or assembled within the domestic factory system in IKD form are subject to a 3% excise tax rate.	- Value of import - Excise payments	ASYCUDA

5. Tax Expenditures under the Customs Duty

TE #	Type	Legal Basis	TE Description	Data Requirements	Data source
55	Exemption	IPL Art. 12.1 (amendment)	Import of materials, equipment which may not be supplied or produced in the Lao PDR, to form the fixed assets, and of machinery and vehicles directly used for production.	CIF value + applicable taxes	- ASYCUDA - MPI
56	Exemption	IPL Art. 12.2 (amendment)	Import of raw materials, equipment, mineral ore and parts to be used in the production for export.	CIF value + applicable taxes	- ASYCUDA - MPI

6. Tax Expenditures under Non-Tax

TE #	Type	Legal Basis	TE Description	Data Requirements	Data source
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10	Exemption	IPL Art. 15	Investors investing in sectors as specified in Art. 9 of the law on investment promotion will receive exemption from rental or concession royalty of state land as follows: Zone 1: exemption for ten years; for investment in sectors as specified in points 2, 3, 5 and 6 of Art. 9 of the Law on Investment Promotion will receive additional five years of such exemption.	- Investing sector based on IPL - Location - Concession area	- MPI - MoNRE database - State Asset Management Department database
11	Exemption	IPL Art. 15	Investors investing in sectors as specified in Art. 9 of the law on investment promotion will receive exemption from rental or concession royalty of state land as follows: Zone 2: receive exemption for five years; for investment in sectors as specified in points 2, 3, 5 and 6 of Article 9 herein will receive additional three years of such exemption.	- Investing sector based on IPL - Location - Concession area	- MPI - MoNRE database - State Asset Management Department database

Annex 2

CIF Value	Customs Duty rate	Applied Customs Duty rate	Excise rate	Applied Excise rate	Import VAT rate	Applied Import VAT rate
2.000	10%	Exempt	20%	15%	7%	3%

Tax type	Direct TE	Indirect impact on Excise TE	Indirect impact on VAT TE	Total impact
Customs Duty	- Without exemption: $2.000 \times 10\% = 200$ - TE: $2.000 \times (10\% - 0) = \underline{200}$ - Taxable base for excise: $2.000 - 200 = 1.800$	$200 \times 15\% = \underline{30}$	$(200 + 30) \times 7\% = \underline{16.1}$	246,1
Excise Tax	- Without exemption: $1.800 \times 20\% = 360$ - TE: $1.800 \times (20\% - 15\%) = \underline{90}$ - Taxable base for excise: $1.800 - 360 = 2.160$		$90 \times 7\% = \underline{6,3}$	96,3
Import VAT	- Without exemption: $2.160 \times 7\% = 151,2$ - TE: $2.160 \times (7\% - 3\%) = \underline{86,4}$			86,4
Total TE	<u>376,4</u>			<u>428,8</u>